**Law & Motion**

**2. 9:00 AM CASE NUMBER: C22-01352**
**CASE NAME: ETHAN LYNCH VS. JOHN MUIR HEALTH, A CORPORATION**
**HEARING ON SUMMARY MOTION JUDGMENT**
**FILED BY: CALAFI, LEO AFSHIN, MD**
***TENTATIVE RULING:****

Withdrawn at request of moving party.

**3. 9:00 AM CASE NUMBER: C23-00570**
**CASE NAME: GENOVEVA HERRERA HERNANDEZ VS. LAS MONTANAS MARKET, INC.**
***HEARING ON MOTION IN RE: FINAL APPROVAL SET BY THE COURT**
**FILED BY:**
***TENTATIVE RULING:****

Plaintiff Geneveva Hernandez moves for preliminary approval of her class action and PAGA settlement with defendant Los Montanas Market, Inc.

A. **Background and Settlement Terms**

The original complaint was filed by plaintiff on March 14, 2023 , 2023, raising class action claims and PAGA claims on behalf of non-exempt employees, alleging that defendant violated the Labor Code in various ways, including failure to pay minimum and overtime wages, failure to provide meal breaks, failure to provide proper wage statements, failure to reimburse necessary business expenses, and failure to pay all wages due on separation. The operative complaint, adding PAGA allegations, was filed on July 20, 2023.

The settlement would create a gross settlement fund of $450,000. The class representative payment to plaintiff would be up to $10,000. Attorney's fees would be $150,000 (one-third of the settlement). Litigation costs would not exceed $20,000. The settlement administrator's costs would not exceed $15,000. PAGA penalties would be $10,000. Because the LWDA notices in question were filed before June 19, 2024, the employees would receive a 25% share of PAGA penalties, or $2,500. (Labor Code §2699(m), (v)(1).) The net amount paid directly to the class members would be about $240,500. The fund is non-reversionary. Based on the estimated class size of 466, the average net payment for each class member is approximately $531. (Since notice was provided, the class size has been set at 489 members, and the average payment is now estimated at about $520.)

The proposed settlement would certify a class of all current and former non-exempt employees employed by Defendants during the class period.

The class members will not be required to file a claim. Class members may object or opt out of the settlement. (Aggrieved employees cannot opt out of the PAGA portion of the settlement.) Funds would be apportioned to class members based on the number of workweeks worked during the class period.

Various prescribed follow-up steps will be taken with respect to mail that is returned as undeliverable. Checks undelivered or uncashed 180 days after mailing will be voided, and would be tendered to the State Controller's unclaimed property fund.

The settlement contains release language (See Par. 1.34.) covering "all California wage and hour claims, damages, penalties, interest, and causes of action, arising from or related to the claims alleged in the Complaint or in the Action, or that could have been alleged or pled in the Complaint based on the allegations in the Complaint." Under recent appellate authority, the limitation to those claims with the "same factual predicate" as those alleged in the complaint is critical. (*Amaro v. Anaheim Arena Mgmt., LLC* (2021) 69 Cal.App.5th 521, 537 ["A court cannot release claims that are outside the scope of the allegations of the complaint." "Put another way, a release of claims that goes beyond the scope of the allegations in the operative complaint' is impermissible." (*Id*., quoting *Marshall v. Northrop Grumman Corp*. (C.D. Cal.2020) 469 F.Supp.3d 942, 949.)

Informal and formal written discovery was undertaken. The matter settled after arms-length negotiations, which included a session with an experienced mediator.

Counsel attest that they have analyzed the value of the case, and that the result achieved in this litigation is fair, adequate, and reasonable. The moving papers include an estimate of the potential value of the case, broken down by each type of claim.

The potential liability needs to be adjusted for various evidence and risk-based contingencies, including problems of proof. PAGA penalties are difficult to evaluate for a number of reasons: they derive from other violations, they include "stacking" of violations, the law may only allow application of the "initial violation" penalty amount, and the total amount may be reduced in the discretion of the court. (See Labor Code, § 2699(e)(2) [PAGA penalties may be reduced where "based on the facts and circumstances of the particular case, to do otherwise would result in an award that is unjust arbitrary and oppressive, or confiscatory."])

A copy of the proposed settlement was served on the LWDA.

Since preliminary approval, notice was mailed to 490 class members. After some packets were returned, follow-up skip-tracing was done. 46 notice packets remain undeliverable. No objections were received. One request for exclusion was received.

B. **Legal Standards**

The primary determination to be made is whether the proposed settlement is "fair, reasonable, and adequate," under *Dunk v. Ford Motor Co*. (1996) 48 Cal.App.4th 1794, 1801, including "the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction … to the proposed settlement." (See also *Amaro v. Anaheim Arena Mgmt., LLC, supra,* 69 Cal.App.5th 521.)

Because this matter also proposes to settle PAGA claims, the Court also must consider the criteria that apply under that statute. Recently, the Court of Appeal's decision in *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, provided guidance on this issue. In *Moniz*, the court found that the "fair, reasonable, and adequate" standard applicable to class actions applies to PAGA settlements. (*Id.*, at 64.) The Court also held that the trial court must assess "the fairness of the settlement's allocation of civil penalties between the affected aggrieved employees[.]" (*Id*., at 64-65.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, "[t]he court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter." (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because "[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutatory purpose." (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

C. **Attorney fees**

Plaintiff seeks one-third of the total settlement amount as fees ($150,000), relying on the "common fund" theory. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: "If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment." (*Id*., at 505.) Plaintiff's counsel have prepared a lodestar amount of $109,062.60, based on 157.3 hours. Thus, the blended hourly rate is $693. The imputed multiplier is 1.38. Under the circumstances of this case, no adjustment is required. The attorney's fee award of $150,000 is reasonable and is approved.

Litigation costs of $17,084.95 are reasonable and are approved.

Settlement administration costs of $8,890 are reasonable and are approved.

The requested representative payment of $10,000 for plaintiff will be reviewed under the criteria for evaluation of representative payment requests discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807. Plaintiff attests that she gave a broader release than that given by the class members, but she does not identify any additional waived claims of value. She attests that she endangered her chances of future employment by being identified as a plaintiff in this type of action. She estimates that she has spent about 30 hours of time working on the case. All things considered, the payment of $10,000 is approved.

D. **Conclusion**

The Court finds that the proposed settlement is fair, reasonable, and adequate. The motion is granted.

Counsel are directed to prepare an order reflecting this tentative ruling and the other findings in the previously submitted proposed order, as well as a judgment. The individual class member who requested exclusion, Luis E. Pena, shall be identified in the judgment as excluded. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. The date shall be selected in consultation with the Department 39 clerk, but will be held in Department 16, the Honorable Benjamin Reyes, where the matter is assigned for all purposes as of March 1, 2026. Plaintiff's counsel are to submit a compliance statement one week before the compliance hearing date. 5% of the attorney's fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court.

**4. 9:00 AM CASE NUMBER: C23-01684**
**CASE NAME: STAR JOSHUA VS. THE COUNTY OF CONTRA COSTA**
***HEARING ON MOTION IN RE: AWARD OF ATTORNEY FEES**
**FILED BY: JOSHUA , STAR**
***<u>*TENTATIVE RULING:*</u>***

Plaintiff Star Joshua moves for final approval of her class action settlement with defendant Contra Costa County and separately for an award of attorney's fees, litigation costs, and a representative plaintiff award. The two motions will be considered together. The case arises from an alleged "data incident."

**A. Background and Settlement Terms**

The complaint alleges that on September 19 and 20, 2022, hackers gained access to two County employees' email accounts, the attachments to which included highly sensitive personally identifiable information ("PII").

The original complaint was filed on July 11, 2023. A First Amended Complaint was filed on August 30, 2023, and remains the operative complaint.

The parties engaged in early informal discovery and engaged a mediator. Informal discovery included identification of the number of affected persons, the categories of PII involved, and the number of notices to affected persons.

The proposed settlement would certify a class of all persons with California mailing addresses who were mailed a letter sent from Defendant County entitled "NOTICE OF DATA BREACH" on or about May 10, 2023. It includes approximately 15,591 members.

Class members will receive the following benefits: reimbursement of documented "extraordinary" economic losses up to $5,000; reimbursement of documented "ordinary" losses up to $500, and up to $100 in "lost time" compensation (at a rate of $25 per hour). In addition, class members may claim two years of credit monitoring and identity theft protections services. The county also will implement information security practice changes to reduce the risk of similar data incidents in the future.

"Ordinary" and "extraordinary" are defined in the agreement, with "extraordinary" having